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ECONOMIC SURVEYS BY THE OECD

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SWEDEN

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APRIL 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

BASIC STATISTICS

THE LAND

Area (1,000 sq. km.)	450
Lakes (1,000 sq. km.)	39
Arable area (1,000 sq. km.)	36
Woodland (1,000 sq. km.)	229

Major cities (Dec. 1962):	
Stockholm	805,000
Gothenburg	410,000
Malmo	240,000

THE PEOPLE

Population (Dec. 1962)	7,580,000
No. of inhabitants per sq. km.	17
Net natural increase (average 1957-1961)	31,000

Net natural increase per 1,000 inhabitants (average 1957-1961)	4.1
Net annual immigration (average 1957-1961)	11,000

PRODUCTION

Gross National Product in 1961 (millions of Kronor)	69,270
GNP per head (U.S. $)	1,768

Gross fixed capital formation (1961):	
— percentage of GNP	22
— per head, U.S. $	392

THE GOVERNMENT

Public consumption in 1961 (percentage of the GNP)	18
General government current revenue in 1961 (percentage of the GNP)	37
Public gross fixed capital formation in 1961 (percentage of the GNP)	4
Public debt at end 1961 (ratio to general government revenue in 1961)	136

Composition of Parliament (No. of Seats):

	1st Chamber	2nd Chamber
Social democrats	77	114
Liberals	27	40
Conservatives	26	39
Centre	19	34
Communists	2	5
	151	232

Last general election: 1960
Next general election: 1964

LIVING STANDARDS

Calories per head, per day (1960-1961)	2,940
Average hourly earnings of male industrial workers in 1962 (in Kronur)	6.62
Number of passenger cars in use per 1,000 inhabitants (Dec. 1961)	173

Number of telephones per 1,000 inhabitants (1961)	384
Number of radio sets per 1,000 inhabitants (1961)	377
Number of T.V. sets per 1,000 inhabitants (1962)	215

FOREIGN TRADE

Exports

Exports of goods and services as a percentage of GNP (average 1957-1961)	28
Main exports (percentage of total commodity exports in 1961):	
Forestry products	31
Machinery, apparatus and transport equipment	32
Iron and steel	8
Iron ore	8

Imports

Imports of goods and services as a percentage of GNP (average 1957-1961)	28
Main imports (percentage of total commodity imports in 1961):	
Machinery, apparatus and transport equipment	27
Raw materials (non-edible) and fuels	22
Metals and metal products	13
Food, beverages and tobacco	12

THE CURRENCY

Monetary unit: Krona

Currency units per U.S. $: 5.17

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1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
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in April 1963

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SWEDEN

1. The present Survey considers Swedish policy-making in recent years. Demand management, growth problems and incomes policy stand in the forefront of economic policy discussion in most Member countries. Swedish policy has been particularly active, notably in the field of demand management, and has used a rather wider range of measures than most other countries. Part I deals with economic planning and Part II reviews the policy instruments applied, notably in stabilisation policy. Part III considers the problems with which policy has been confronted over the last full business cycle, and the ways in which they were tackled.

I. ECONOMIC PLANNING

2. In the post-war period, an integrated system of planning and forecasting for the economy as a whole has become a permanent feature of economic policy in Sweden. It is convenient to distinguish the long-term operations, which generally cover the next four years or more, and the so-called national budgets or economic surveys which the Government presents to the Riksdag in connection with the fiscal budget at the beginning of each year.

A. *LONG-TERM PLANNING*

The Nature of the Plan

3. There are wide differences between the interpretations which individual countries place on the concept of long-term economic planning. In Sweden, the long-term plan does not consist of a programme which the Government puts forward and to which, subject to Parliamentary consent, it commits itself. Rather it is an expert study put forward *to* the Government which may or may not endorse its contents. The report is generally published.

4. Three such studies have been prepared since the pioneer effort was

elaborated in 1947-1948 as part of the European Recovery Programme. The latest is mainly concerned with the five years 1961-1965, but contains some discussion of the period beyond the middle 'sixties.

5. The 1961-1965 study consists of a set of estimates of the main components of the national accounts which, in the opinion of the experts responsible for the study, set a reasonably ambitious target for government policy to aim at. The forecasts are prepared on the basis of *a)* the experts' estimates of the supply potential of the economy; *b)* what is already known about the plans of private firms, local authorities and particular government bodies; *c)* how it is thought other types of demand will develop. The need to reconcile the demand estimates with the supply estimates provides the occasion for the policy recommendations to the authorities. The purpose of the plan is not to fix rigid objectives with detailed targets for each individual sector. Since Sweden is predominantly a free market economy the object is rather to provide a longer-term perspective as a basis for policy discussion, give advance warning of possible strains and stresses, and provide some sort of guidance to those responsible for private and public investment planning. Given the decentralised nature of economic management in Sweden, and the obvious uncertainty of many of the assumption on which the forecasts are based (e.g. international trade conditions) the study lays great stress on the tentative nature of the estimates and on the need to retain flexibility in decision-making at all levels. But in order, at the outset, to provide a clear target for government and private action, the 1961-65 study gives only one set of estimates in quantitative terms, as opposed to the alternative estimates which previous studies had included.

6. Each of the long-term studies to date has been prepared by a Planning Commission specially appointed for the occasion and assisted by a temporary Secretariat. The latest Commission, like its predecessors, had close but informal contacts with private firms and associations, public bodies and research institutes; in particular, it asked firms and sections to produce plans and forecasts of output, investment and manpower requirements. Two distinct advantages were gained by this procedure : the Commission was able to take advantage of first-hand expert knowledge and advice; and it served to encourage planning and research in both the private and the public sectors. Experience has shown, however, a need for greater continuity in the long-term planning process and the Government has recently set up a new Economic Planning Council consisting of economic experts from the authorities, research institutions, industry, commerce and the labour market organisations. The Council is headed by the Minister of Finance and served by a permanent secretariat inside the Ministry of Finance. The Council's first task is to follow up the 1961-1965 study, revise it as necessary in the light of

later experience and changing prospects, and to organise and intensify research on longer-term development problems.

Targets for the 1961-1965 period

Forecasts

7. The Commission assumes that it should be possible to raise the rate of growth of the real gross national product from 3.5 per cent in the 1950's to 4 per cent in the first half of the 1960's. The projected movement of employment and productivity is illustrated in table 1.

Table 1. **Production and Employment**

Annual rate of growth, per cent

	1950-1960	1960-1965
Real gross national product	3.5	4.0
Number of persons employed	0.6	0.8
Output per employed	2.9	3.2

Source : The Swedish Economy 1961-1965, Report of the 1959 Long-Term Planning Commission, Stockholm 1963.

8. The natural increase in the labour force will remain moderate and the further extension of education will reduce the rise in employment. But married women are expected to enter the labour force in increasing proportions, and the rate of immigration (net) is thought likely to remain at about 10,000 a year, as in the 1950's; without these two sources of supply, the labour force would have remained practically unchanged.

9. The productivity estimate has been influenced by three main considerations. First, the active labour market policy developed in recent years will not only increase the supply of labour but, it is hoped, step up productivity by helping to steer labour into the higher productivity sectors. Second, growing expenditure on research, technical development, training and re-training should have a favourable influence. Third, the rate of investment is expected to remain at the high level achieved in 1960, implying that in the 1961-1965 period gross fixed asset formation will be 25 per cent higher than during the previous five years.

10. The plan aims at an improvement in the current external balance* (in constant 1960 prices), from a deficit of Kr. 300 million in 1960 to

* Including Kr. 300 million of errors and omissions assumed to consist of net current receipts.

a surplus of Kr. 500 million in 1965. It is felt that some increase in the foreign exchange reserves will be needed; furthermore, it is assumed that there will be a sharp increase in aid to developing countries. Up to 1961 Swedish development assistance was relatively modest and in 1960 the grants, long term loans and contributions to international organisations for this purpose took a much lower share of the gross national product than for the O.E.C.D. countries combined. But the appropriations for official development assistance have lately been increased rather sharply from Kr. 50 million in 1961-1962 to Kr. 130 million in 1962-1963 and to Kr. 180 million in 1963-1964.

11. On the assumption of a 36 per cent increase in merchandise exports, and with a more moderate rise in net invisibles earnings, there is scope for a 30 per cent increase in imports. Terms of trade are not expected to change much. The Commission stresses the uncertainty of the estimates and discusses some of the implications of a less favourable development.

12. Savings were at a high level in 1960, and the movements envisaged for investment and the current external balance (see table 2) imply only a moderate increase in the national savings ratio (in constant prices); some increase in the savings ratio is expected to result from the National Supplementary Pension Scheme introduced in 1960. (See paragraphs 43-46.)

Table 2. **National Product and Expenditure**[1)]

	ANNUAL PERCENTAGE CHANGE, VOLUME			BILLION KRONER		ANNUAL PERCENTAGE CHANGE
	1950-55	1955-60	1950-60[2)]	1960	1965	1960-65
Gross fixed investment	3.4	4.8	4.4	20.20	24.85	4.2
Change in stocks	—	—	—	1.45	0.90	—
Current external balance	—	—	—	-0.60	0.20	—
Total capital formation	2.7	4.5	3.7	21.05	25.95	4.3
Public civilian consumption	4.7	4.3	4.6	7.40	9.30	4.6
Military expenditure	7.9	1.6	4.2	3.05	3.45	2.5
Private consumption	2.5	2.7	3.2	37.20	45.00	3.9
Gross national product	3.0	3.3	3.5	68.70	83.70	4.0

1. The table is based on Swedish definitions which differ from those used by the O.E.C.D.; the main difference is that fixed investment, according to Swedish definitions, includes repair and maintenance.

2. Based on exponential regression line.

Source : The Swedish Economy 1961-1965, Report of the 1959 Long-Term Planning Commission, Stockholm, 1963.

13. It is interesting to note that, unlike the earlier studies, the 1961-1965 plan is able to accommodate all investment requirements reported by private firms, central and local authorities; in some sectors, notably manufacturing, the plan even aims at a higher level of investment than projected by the sectors concerned. Considerable increases are also forecast for commerce, roads, housing, education and hospitals. In some of these areas, the Commission feels that a stronger increase would have been desirable. But in some cases – including residential and many types of public construction – investment activity will to some extent be hampered by bottlenecks, notably a shortage of architects; and in education and medical services the expansion will be hampered by the limited supply of teachers and medical personnel.

Economic strategy

14. The Commission points to the risk that developments may be less favourable than estimated, notably with respect to the growth of the gross national product; the labour force and investment may rise less fast than expected; and exports and terms of trade may develop less favourably than envisaged. According to the priorities proposed in the report, a smaller growth in output than envisaged should affect private consumption rather than investment or public consumption.

15. It is also possible that investment requirements have been underestimated, or that investment in some sectors could be increased more than envisaged. In both cases, the Commission feels that investment should be given preference to private consumption. It is assumed that consumer demand can be steered in such a way that the target figures for investment and public consumption can be achieved. So far as the financing of investment is concerned, the Commission points to the need for certain structural changes in the capital market, especially so that industrial enterprises should have easier access to it.

16. Achievement of the targets for public investment and residential construction will depend largely on official policy and organisation. But business investment will depend heavily on marketing conditions both at home and abroad. Although it is not possible to forecast shorter-term fluctuations over a five-year period, the Commission feels that any excessive delay in business fixed asset formation should be avoided. In a recession, investment policy should not only aim at increasing public capital expenditure and residential construction, but take action to maintain business investment; the main instruments would be investment reserves, fiscal and credit policies.

17. Despite the uncertainty regarding European integration, the Commission feels that, given reasonably favourable external conditions, the

balance of payments target should have a good chance of being achieved without foregoing the full employment objective. But it stresses the importance of maintaining the competitive position of Swedish industry and the responsibility of economic policy in this field. The Commission is not able to indicate what rise in nominal wages would be consistent with its targets, but points to wage policy as an important instrument to achieve the balance of payments target.

Developments Beyond 1965

18. The Commission states that the need to look beyond 1965 is particularly important in those sectors where capital equipment has a long life, and where measures today influence the possibilities for action in the future. This applies, for instance, to town planning, specialised industrial buildings, power plants, schools, hospitals, roads and railways. Planning in education must cover at least ten years ahead. Although the Commission has not been able to make precise forecasts for the longer run, its estimates for the first half of the 1960's have been influenced by more general long-term considerations.

19. It is felt, in particular, that the possibility of influencing the rate of growth is greater in the long run than in the years immediately ahead. Developments in the next few years will to some extent be hampered by bottlenecks in various sectors - shortages of skilled labour, teachers, medical personnel, architects etc. - which can only be overcome in the longer run.

20. The Commission assumes that a minimum target for the longer run should be a rate of growth similar to that envisaged for 1961-1965, and that a higher rate could be achieved. In some respects - notably the small increase in the labour force, and the large service sector where the rate of productivity increase is only moderate - growth conditions in Sweden are less favourable than in many other countries. On the other hand, the high level of income should enable Sweden to set aside sizable resources for capital formation, for education and for technical development. Thus it is felt that it might be possible for Sweden to attain the 50 per cent increase in output which O.E.C.D. countries have set for themselves as a collective target for the 1960's. This would mean that Sweden's growth rate would have to be raised to 4.5 per cent a year in the second half of the decade.

21. Whether this would require a higher rate of investment would depend on the contribution to growth resulting from technological progress. The rate of technological progress is regarded as a factor susceptible to influence by government policy, particularly in the long run. Hence the Commission's insistence on the fact that the rate of growth after 1965

will, to a large extent, depend on the measures taken in the next few years. If a rate of growth of 4 per cent or more is to be achieved in the second half of the 1960's, economic policy and planning must as soon as possible be geared to this perspective.

B. THE NATIONAL BUDGET

22. The National Budget is prepared by the Ministry of Finance. It is submitted to the Riksdag in January as an appendix to the Government budget, providing background material for the economic policy proposed by the Government. A revised version is normally presented in May as an appendix to the supplementary government budget.

23. The purpose of the National Budget is to give an assessment of the short-term economic outlook to provide an orientation for economic policy. In the early years, the budget included centrally drawn-up plans, notably in the field of investment. But with the dismantling of direct regulations, the Budget has become more of a survey of economic trends, illustrated in the form of a " supply and use of resources " table.

24. In times of more pronounced imbalance between supply and demand, the Budget has been presented in the form of a gap analysis, indicating whether demand is tending to exceed or fall short of potential supply. The estimates are to a large extent based on enquiries concerning the production and investment plans of business and the budgets of central and local authorities, supplemented by various econometrix relationships. It is now intended to extend the use of econometric methods. A flow of funds analysis will to a greater extent be integrated with the " supply and use of resources " estimates, and more attention will be paid to regional problems.

II. ECONOMIC POLICY INSTRUMENTS

A. BUDGETARY POLICY

25. Up to the early 1930's the budget was not generally regarded as an instrument with which to influence the economy; the prevailing attitude was that the government's net asset position should not be reduced in any one year. The budgetary reform of 1937 – a codification of practices which has been applied since the early 1930's – only required that the current account of the budget should be in balance over a number of years, generally understood to be the business cycle. Since then, however, the attitude towards budget policy has developed further. Today

the budget is regarded as one of the most important policy instruments at the disposal of the authorities; attention is concentrated on the budget's function as a balancing factor in the economy as a whole, and the balance of the budget itself is considered a matter of less importance. Considerable efforts have therefore been made to overcome the practical difficulties involved in the flexible use of the budget as an economic policy instrument.

26. The size of the budget, and the structure of both expenditure and revenue are of course the result of longer-term considerations, and cannot easily be changed in the short run. Decisions concerning expenditure are primarily related to the various activities with which the Government has been entrusted - e.g. education and defence. And the level and structure of taxation are influenced by a number of considerations other than those related to short-term demand management. Moreover, the speed with which variations in expenditure and taxation can be made is conditioned by the principles and procedures of parliamentary government. But efforts have been made to increase the flexibility of the budget for anti-cyclical purposes both on the expenditure and the revenue side.

Revenue

27. Changes in taxation of personal incomes and profits have generally not been made for anti-cyclical purposes. Certain changes in indirect taxes have been made, but for the greater part the Swedish authorities have relied on two special instruments to influence business investment - a 10-12 per cent investment levy and an investment reserve system whereby private enterprises are encouraged to set aside funds in boom periods to be used for investment in a recession.

28. The investment levy was used very actively in the 1950's. It was introduced in 1952, abolished in 1953, reintroduced at the beginning of 1955, and maintained until the end of 1957. Although the levy is generally considered to have been a useful instrument to even out fluctuations in business investment, it has not been used in recent years. This partly reflects the greater importance attached to the long-term objective of achieving a higher rate of investment. The Government has prefered to use the investment reserve scheme to influence the cyclical pattern of business investment.

Investment Reserves

29. The investment reserve system aims at influencing the timing of business investment by offering certain tax advantages. Companies are permitted to declare up to 40 per cent of their taxable income to be an

investment reserve. When an investment reserve is established, the part of the reserve which would otherwise have been paid in taxes at that time (46 per cent) is frozen at the Central Bank. The other part (54 per cent) does not have to be kept in any specified type of asset; it is left to the company to manage its liquidity position bearing in mind the possibility of a release. Thus, when reserves are released the company must have at hand - or be able to raise - more than half of the amount it is required to invest. An additional incentive is provided by the fact that a company can deduct from the taxable income an amount corresponding to 10 per cent of the reserve when it is used in accordance with the decisions of the authorities.

30. Investment financed out of these investment reserves is written off immediately. This can be seen as the main advantage to the investing firm; otherwise the amounts released would constitute taxable income. However, as a consequence of the immediate write-off, the new investment cannot serve as the basis for tax free depreciation allowances in the future.

31. The net effect of the tax advantages offered by the investment reserve procedure may be calculated by reference to three factors, two positive and one negative. On the positive side, firms gain access to the funds previously blocked at the Central Bank, and their income after tax is increased by the extra 10 per cent investment deduction. On the negative side, net income after tax would decline in future years as a result of the less of the normal depreciation allowances. The size of this negative effect depends on the depreciation period that is considered normal and on the interest rate used in calculating the present value of the decrease in net income in future years due to the loss of normal depreciation allowances. For buildings financed out of investment reserves the net gain works out at about 25 per cent of the cost and for machinery at less than 10 per cent.

32. As the in-payment to the Central Bank is an alternative to taxes, the disposable liquidity of the company is neither increased nor decreased when investment reserves are being built up. Some restrictive effect on investment activity may however result; first, firms may delay less urgent investment projects in expectation of a future release, and second, the system implicitly demands a somewhat higher liquid position than would otherwise be necessary. The restrictive effects are probably not strong; indeed, in order to strengthen them a supplementary scheme - demanding the in-payment to the Central Bank of the whole reserve, not only the 46 per cent that would have gone in taxation - has been applied in times of strong pressure on resources. Firms receive interest at a particularly favourable rate on the other part of the reserve.

33. At the beginning of 1962 the investment reserve amounted to Kr. 2.4 billion. Releases of appreciable size were made for the first time in 1958-1959; they amounted to about Kr. 1 billion. In 1962 about Kr. 0.6 billion was released. The total building cost of the projects involved amounted to about S.Kr. 1.1 billion, corresponding to close to 50 per cent of the non-residential construction undertaken by the private sector in that year. It is of course difficult to access the stimulating effect of a release of investment reserves because some of the investments would have been undertaken even if no release were made. However, the size of the deductions permitted from taxable income, the tax incentive offered, and the fact that substantial blocked funds are made available when an increase in investment is considered desirable suggest that the system provides an effective means of smoothing the investment cycle.

Expenditure

34. The general principles governing budgetary expenditure in Sweden are similar to those prevailing in most industrialised countries. The Riksdag adopts a budget at the beginning of each fiscal year and can vote additional expenditure in the course of the year if it so wishes. In respect of certain appropriations, the Government may also spend funds voted but not used in the preceding year. There are, however, certain special devices built into the Swedish budgetary system that merit attention.

35. First, the Government may impose ceilings on its expenditure and spend less than voted by the Riksdag. This device is useful not only as a means of restricting expenditure in a boom period, but because it also enables the Government to increase expenditure again at short notice. Appropriations voted by the Riksdag can be set higher than would be required under "normal" conditions, leaving it to the discretion of the Government as to how far, and when, the extra appropriation should be drawn upon.

36. Second, the budget normally includes certain appropriations which should be used only if measures to increase employment are required. The Labour Market Board is responsible for the efficient use of these employment-policy appropriations; in the current budget they amount to Kr. 450 million (about 1 per cent of total fixed investment). On the basis of short-term forecasts of the development of employment in different regions, and with a view to influencing both the seasonal and the cyclical pattern of employment, the Labour Market Board decides when and where projects should be started – and stopped.

37. Third, in addition to the Government Budget the Riksdag each year

votes a special budget covering an emergency programme of public works which can be started at short notice if circumstances require such action. In the current year the special budget amounts to Kr. 1.5 billion (8 per cent of ordinary budget expenditure or 6 per cent of total fixed investment). The special budget authorises the government to start projects under the emergency programme costing up to Kr. 300 million; proposals to start additional projects require the specific approval of the Riksdag.

38. The Labour Market Board is responsible for the establishment of the emergency programme of investment projects which can be started on short notice, generally within four months. The list is prepared in co-operation with central and local government agencies; it consists very largely of projects included in the public authorities' plans for the next year or two. The list of emergency projects has to be approved by the Riksdag as part of the special budget legislation.

39. The volume of residential construction is also influenced by anti-cyclical policy, since more than 90 per cent of housing is financed by government lending.

B. LABOUR MARKET POLICY

40. Sweden has been developing a wide-ranging labour market policy as an instrument to help achieve both growth and stability. The basic economic considerations behind it are twofold. First, over most of the post-war period, the number of unfilled vacancies has been relatively high, with the shortage of labour concentrated in the expanding and most productive enterprises. Substantial economic gains could therefore be achieved by increasing labour mobility, with a reduction of frictional and structural unemployment and a transfer of manpower from low to high productivity enterprises. Second, experience has shown that as full employment is approached, bottlenecks appear in certain sectors and create strong wage and price pressures, while unemployment persists elsewhere. Greater labour mobility and adaptability is held to facilitate the simultaneous achievement of full employment and price stability.

Table 3. **Number of Unemployed on Training Courses**

			Fiscal year
1957-1958	2,615	1960-1961	12,835
1958-1959	5,841	1961-1962	20,000
1959-1960	10,079	1962-1963	(30,000)*

* Estimate.

41. The geographical mobility of the labour force is encouraged by granting travelling allowances, family allowances and starting allowances. Mobility between professions and trades is increased by a substantial extension of retraining courses and vocational guidance. The labour exchanges have been expanded with a greatly improved information service on a nation-wide basis.

42. The shortage of housing in areas where unfilled jobs exist, and the natural reluctance of individuals to leave their own homes, are important obstacles to mobility. To some extent the difficulty has been overcome by giving priority to housing in expanding areas, and by the building of temporary houses for workers taking up new jobs. But to a large extent the problem remains to be solved.

C. THE NEW NATIONAL PENSION SYSTEM

43. In 1960 the basic pension system adopted in 1946 was supplemented by a new scheme. The supplementary scheme is primarily an element of social policy. Its main provision is that all employees and self-employed should receive, at the age of 67 or earlier in the case of incapacity for work, a total pension corresponding to about two-thirds of the beneficiary's average income over the 15 best income years. But the financial aspects of the new system have been strongly influenced by economic considerations.

44. The system is based on the pay-as-you-go principle, i.e. that the premiums paid by the gainfully employed population should be sufficient to cover pension payments. This would require only a small pension fund as a safety margin against a temporary excess of pension payments over premiums received. This principle has, however, been considerably modified, since the legal provisions of the scheme aim at the accumulation of a large fund greatly exceeding safety margin requirements. Out-payments by the fund have started in 1963 on a moderate scale, but considerable in-payments have already been made by contributors – enterprises and self-employed – and the premiums due will increase progressively in coming years. Net in-payments including interest earnings in 1963 are likely to amount to about Kr. 2 billion – more than 2 per cent of G.N.P. The Fund will continue to grow during the first two or three decades of its operation, but at a declining pace as the number of pensioners and the pensions increase.

45. The decision to build up a large fund was influenced by the need to increase the national savings ratio. Although other forms of savings – personal savings and private pension funds – may decrease, the new pension scheme is likely to lead to a net increase in the total savings

ratio over a relatively long period. It will also lead to a significant increase in the supply of long-term capital – another important economic aspect of the scheme.

46. Up to one half of the premiums received in any one year is made available for loans – with an amortisation period of 10 years – to those who pay the premiums. The remainder of the increase in the Fund's capital can be invested in public and private bonds; the funds may greatly increase the capacity of the capital market; on the other hand, to the extent that the funds are invested in new government issues, a restrictive influence can be obtained. The Fund has an independent administration; the Government appoints some of the board members but has not in principle a dominant influence. Legislation on financial institutions' investment ratios also applies to the transactions of the Fund.

D. THE INSTRUMENTS OF CREDIT POLICY

47. The monetary authorities have the power to prescribe and vary cash ratios, liquidity ratios and investment ratios for the different types of financial institutional. The cash ratio applies to deposits at the Central Bank, the liquidity ratio to a somewhat wider concept including government bonds, and the investment ratio to a rather wide range of assets, including house financing, to which priority is given. Thus the authorities have the legal basis for strong action to influence both the volume and the composition of the credit supply. But it is generally accepted that this legislation should be regarded primarily as a stand-by authority to be reserved for extraordinary circumstances. Credit policy has, in fact, long been based on cooperation between the monetary authorities and the financial institutions; recommendations from the Central Bank have to a large extent had a similar content as would, for instance, prescribed investment ratios. Since 1957, changes in the discount rate have been more frequently used, while the management of the government debt has been the major instrument in regulating domestic liquidity. The control of bond issues has been the only element of direct regulation in the field of money and credit.

E. INCOMES POLICY

48. Although experience from the post-war period suggests that under full employment conditions wages tend to rise faster than productivity, the authorities contemplate neither direct intervention in wage negotiations nor the issue of recommendations as to the sort of wage increases compatible with price stability. This attitude is based partly on general

political principles. But it is also felt that any official guidance as to the general scope for wage increases would tend to be regarded not as averages, but as minima to which special claims from individual groups would be added.

49. Swedish policy is based on the assumption that a better performance than in the past can be achieved by a more active use of stabilisation policy, including labour market policy. This view seems to be based largely on the following considerations :

a) Swedish experience shows that the rise in wages (both wage-drift and negotiated increases in wage rates) is strongly related to the general state of the economy. Although wages in most years have risen faster than productivity, the difference has been much less pronounced in periods of reasonable overall equilibrium.

b) To the extent that better techniques of stabilisation policy can be developed the excess increase in wages should be reduced. Further development and refinement of labour market policy are considered to be of particular importance.

c) Price competition should be increased to ensure that prices are reduced in sectors where productivity rises faster than costs.

d) Government intervention in wage determination - even in cases where it is effective in the short run - easily creates distortions in the distribution of income. In the longer run such distortions can release disruptive wage movements to restore the previous relationships between the wages of different groups.

e) Wage negotiations are to a large extent carried out by the central organisations in the labour market and cover such large groups of wage earners that the "national interest" is automatically a factor taken into consideration. Both the trade unions and the employers' associations are prepared to adapt their bargaining attitudes to the needs of price stability if they have confidence in the economic policy pursued by the authorities.

50. In brief, the prevailing attitude is that it is the responsibility of the employers' and workers' organisations to reach settlements compatible with the objectives of economic policy. The responsibility of the authorities in this field is confined to maintaining an appropriate balance in the economy. The Government plays a more direct role in the determination of farmers' incomes, which are the result of negotiations between the farmers and the Government. These agreements, however, aim mainly at maintaining income parity between farmers and wage earners.

III. THE USE OF POLICY INSTRUMENTS

51. In recent years the instruments of economic policy have been applied with two major aims in view. An important longer-term objective has been to increase the rates of savings and investment. At the same time the authorities in Sweden, as in most other countries, have had important short-term equilibrium problems to face.

A. *MEASURES TO INCREASE SAVINGS AND INVESTMENT*

52. The long-term study prepared in 1956 recommended policies to increase national savings and investment, and suggested that this required tighter fiscal policy accompanied by a relaxation of monetary restraints and an increase of the capacity of the capital market. During most of the 1950's the Government budget (including lending) was in deficit. To maintain a reasonable balance in the economy, monetary policy was shaped so as to ensure that a substantial part of the inflow of funds to the financial institutions was not used for lending to the private sector. In fact, about half the increase in deposits at the commercial banks was used to increase their holdings of government bonds and cash reserves, thus neutralising about two-thirds of the outflow from the Government. Although business savings and investment were fairly high, it was felt that this policy might have an adverse effect on investment.

53. Certain tax changes were made in 1957, switching the emphasis of restraint from investment to consumption. But with slack developing in 1958 and 1959, no further measures in this direction were taken until 1960, when the national pension scheme and a 4 per cent general turnover tax were introduced. The sales tax was increased to 6 per cent in 1962, but there were simultaneous reductions in direct taxes and increases in children's allowances and pensions more than offsetting the effect of the rise in the sales tax.

54. As a result of these measures, a budget deficit of nearly Kr. 2 billion in 1959 was turned into a surplus of Kr. 600 million in 1962. The savings of the pension fund amounted to some Kr. 1.4 billion in 1962. Although some other forms of savings have been affected adversely by this movement, the national savings ratio rose from 21.2 per cent in 1959 to 23.7 per cent in 1962, with a similar increase in the rate of investment. The supply of long-term capital has been considerably increased.

Table 4. **Issue of Bonds, 1958-1962**

Billion kronor

1958	2.1	1960	2.7	1962	4.9
1959	3.1	1961	2.3		

Source : 1962 Annual Report of the Riksbank.

B. STABILISATION POLICY

The 1958 Recession

55. A major factor in the 1958 recession was a 5 per cent decline between the third quarters of 1957 and 1958 in merchandise exports - which account for 20 per cent of G.N.P. - followed by a decrease in inventory investment in 1958 corresponding to 2.5 per cent of G.N.P. The fall in exports began towards the end of 1957, and the upturn began about a year later. Investment in inventories, however, did not revive until the second half of 1959.

56. The measures taken to stimulate activity included :

a) The abolition of the investment levy at the end of 1957 ;

b) The release of investment reserves between May 1958 and September 1959 totalling some Kr. 1,000 million, of which Kr. 250 million in 1958 and Kr. 750 million in 1959; the total release represented 8 per cent of one year's gross fixed asset formation ;

c) The abolition of remaining building controls, although some control over the timing of building starts was maintained.

d) A more expansionary budget policy, with a sharp increase in public investment;

e) A significant increase in both bank and non-bank liquidities; the ceiling on commercial banks' lending was lifted in 1957, and bank rate was reduced from 5 to 4.5 per cent in May 1958.

57. As a result, fixed asset formation rose faster in 1958 and 1959 than in 1957. The acceleration of private investment was particularly strong, and contrasted markedly with the boom period which had preceded the recession when industrial fixed asset formation had remained practically stable. Government investment also rose a little faster in 1958 than in the previous year, but no significant increase occured until 1959. Private consumption also expanded faster than in 1957.

Table 5. **Gross Fixed Asset Formation 1957-1960**

Percentage increase from previous year in 1954 prices

	PRIVATE	CENTRAL GOVERNMENT	LOCAL AUTHORITIES	TOTAL
1957	0.2	3.0	10.0	2.7
1958	7.4	4.6	2.2	5.9
1959	6.2	12.2	8.4	8.0
1960	7.3	-3.8	-1.6	2.9

Source : The Labour Market Board.

58. The recession led to no actual decline of output. But with the sharp decline in inventory investment, real G.N.P. in 1958 showed only a 1 per cent rise and industrial production increased little in the course of the year. Registered unemployment rose from 0.9 per cent in the third quarter of 1957 to 1.2 per cent in the third quarter of 1958, and remained at that level in the summer of 1959.

59. There can be little doubt that the avoidance of a fall in output can to a large extent be ascribed to the vigorous action taken by the authorities. It has been estimated by the Swedish authorities that the total budgetary cost of the various measures to stimulate activity in the fiscal year 1958-1959 totalled Kr. 750 million (5 per cent of total budget expenditure) and that the effect of these measures was to increase employment in the spring of 1959 by about 60,000 people - some 2 per cent of the total labour force. In addition, the release of investment reserves coupled with an easy monetary policy no doubt exerted a strong expansionary influence.

60. Coordination of the policies of the various decision-making authorities does not seem to have presented a problem. The occasion served to provide valuable experience for the future in the timing of the measures, particularly in respect of government investment, and advantage has been taken of this in dealing with the 1962-1963 slack. The year 1958 was the first in which a significant contra-cyclical increase in public investment was attempted. Lack of advance planning proved to be an important obstacle, and the difficulties of short-term economic forecasting was another. The Swedish authorities estimate that it takes about four months for a project to be started after the decision has been taken, even with a high degree of advance preparation.

The 1960-1961 Boom

61. Exports began to rise late in 1958, and when the inventory recession came to an end in the middle of 1959, output began to rise fast, with a

strong increase in private investment. It soon became clear that strong expansionary forces were developing and that restrictive measures were needed to avoid an excessive increase in demand. The measures adopted included :

a) A reduction of public investment expenditure in 1960. It is, in fact, an interesting reflection on the use of public investment as a contra-cyclical instrument that the authorities were able effectively to reduce such expenditures in 1960; by that year only a few minor projects from among the increased government investment schemes of 1958 had not been completed. It proved impossible, however, to prevent a 4 per cent increase in public investment in 1961.

b) A tighter budget, with an increase in government financial savings equivalent to 2 per cent of G.N.P. The sharp rise in revenue was primarily the result of the automatic increase in tax receipts which flowed from the rise of private incomes; but taxes were also increased.

c) The introduction of a 4 per cent general turnover tax.

d) Enterprises were encouraged to delay part of their investment plans, partly by means of a confrontation at regional levels of investment plans which clearly exceeded existing capacities.

e) A strengthening of the contra-cyclical effect of the investment reserve system in 1960 by an additional scheme offering further allowances if the ordinary non-blocked part of the reserves was deposited at the Central Bank until the end of the following year (see paragraph 29 above).

f) A tightening of monetary policy. The recommended liquidity ratios were raised in the autumn of 1959 and in January 1960, and commercial banks were requested to practice restraint in their lending policies. Bank rate was raised to 5 per cent in January 1960, and penal rates on excess borrowing by the banks from the Central Bank were introduced in May 1961.

62. This broad range of measures no doubt served to restrain demand, particularly since action was taken at an early stage of the expansion. But it is clear that the measures taken were not sufficient to prevent strong pressure on resources from developing, particularly in 1960, with considerable increases in wages and prices. Import prices remained fairly stable and the rise in domestic prices was largely the result of developments at home. The fact that the rise in industrial hourly earnings remained substantial in 1962, when general demand pressure disappeared, suggests that not very considerable progress has been made as yet in keeping wage increases in line with the movements of productivity.

Table 6. **Prices and Wages 1960-1962**

Percentage change from previous year

	1960	1961	1962
Hourly earnings in industry	6.4	8.7	7.4
Consumer prices	3.3	2.4	4.7

Source : O.E.C.D. Statistical Bulletin.

Weaker Demand Conditions, 1962-1963

63. The expansion levelled off in the second half of 1961, with little further increase in exports, the rate of inventory accumulation falling and investment surveys pointing to a decline in industrial investment in 1962. The measures taken to stimulate activity were very similar to those applied in 1958:

a) Permits to use investment reserves corresponding to an investment volume of Kr. 1.2 billion to be used between 1st July, 1962 and 30th April, 1963.

b) A significant increase in government loans for house-building. Investment in dwellings was increased by 7 per cent in volume from 1961 to 1962; a 10 per cent increase is foreseen for 1963.

c) Acceleration of Central Government ordering of equipment, and the encouragement of a similar speeding up of local authorities' expenditures.

d) An increase in public investment of 6 per cent in 1962 and 9 per cent in 1963.

e) A less restrictive government budget, with a decline in financial savings between 1961/62 and 1962/63 of about Kr. 900 million (about 1 per cent of G.N.P.); a further decline of the same order of magnitude is foreseen for 1963/64.

f) Two reductions of bank rate during the first half of 1962 and a further cut to 3.5 per cent early in 1963. Reserve and investment requirements of banks and other credit institutions were relaxed.

64. As a result of these measures, public investment rose strongly in 1962, and private capital expenditure also showed some increase. The real gross national product rose by 3.5 per cent, very much in line with the growth of capacity.

65. The Swedish authorities feel that, because of the timing, public investment has been more successful in counteracting the recent tendency of other demand elements to slacken off than it was in 1958-1959,

Table 7. **Private and Public Investment, 1960-1962**

Percentage increase from a year earlier at 1954 prices

	1960	1961	1962
Private	6.5	7.0	2.5
Public	-3.0	4.0	6.0

Source : National Budget for 1963.

and that this is due to better advance preparations. The authorities envisage a further increase in the G.N.P. of about 3.5 per cent in 1963, although exports are expected to rise much less than in 1962. Public investment and housing are thought likely to be the most dynamic elements of domestic demand. Industrial investment is expected to decline, despite the strong measures to stimulate it. The decline is likely to be concentrated in the export industries. The accumulation of inventories is expected to continue to decline. Recent policies are based on the assumption that private demand will resume a faster rate of growth in the second half of the year. But policies will be changed if developments in the next few months should point to continuing weakness beyond the middle of the year.

Table 8. **National Product and Expenditure 1962-1963**

Kr. million in 1962 prices

	1962	1963	CHANGE IN PER CENT
Private fixed investment	15,200	15,250	0.5
Government fixed investment	5,800	6,150	6.0
Local authorities fixed investment	4,800	5,400	12.0
Changes in inventories	700	200	. .
Private consumption	44,000	45,800	4.0
Public consumption	10.900	11,550	6.0
Net exports	-100	-50	. .
G.N.P.	81,300	84,300	3.5

Source : National Budget for 1963.

IV. CONCLUSIONS

66. The comparative record in Sweden over recent years is average rather than outstanding in respect of economic growth rates. But Sweden

has had a large measure of success in smoothing out cyclical peaks and troughs. The task of the authorities has no doubt been helped by the fact that, generally speaking, there has been no serious conflict between long-term and short-term needs; for example, unlike many O.E.C.D. countries, Sweden has not suffered from extreme balance of payments positions that seemed to demand immediate policies that run counter to longer-term requirements. But this factor is not unrelated to the economic policy pursued.

67. Sweden's relatively steady development since the mid-fifties has no doubt been assisted by the extent to which, systematically, the authorities have themselves looked ahead to see the likely shape of both short-term and long-term developments, and have encouraged other sectors of the economy to do the same. This has helped the authorities to take contra-cyclical action which has been both sensible and timely.

68. But the success of the authorities in steering a relatively smooth course is not merely the result of intelligent anticipation – at all times a hazardous enterprise. The types of policy action pursued by the authorities, and the way in which they have been applied, have certainly had an important bearing on the outcome. Other countries might well be able to profit from studying them.

69. In the first place, the Swedish authorities have drawn very fully on the whole range of conventional fiscal and monetary policies. In the monetary field, the authorities are able to resort, if necessary, to a wide variety of measures. And in respect of budgetary operations they are endowed, within the limits of parliamentary control, with considerable discretionary authority.

70. But considerable use has also been made of other measures which extend beyond the fiscal and monetary tools common to most industrialised countries, and among these particular mention should be made of the following :

a) Although the effect of the investment reserve system is difficult to assess, the Swedish authorities feel that it is an efficient means of influencing the timing of business investment.

b) Efficient techniques have been developed to achieve contra-cyclical movements of public investment, a weapon which many countries have found to be particularly difficult to handle. Swedish experience in this field suggests that careful advance preparation is the key to success. It is not sufficient that appropriations should be available ; suitable projects – suitable from the point of view both of location and duration of execution – must be ready to be started at short notice.

c) Measures have been developed to increase the mobility of labour. These have facilitated the adaptation of the labour force to changes in the pattern of demand. And they serve to help reduce pressure on costs and prices. But so far as cost pressure is concerned, Sweden's performance has not been wholly satisfactory. It remains to be seen whether further improvements in demand management and labour market policies will provide a sufficient corrective, or whether additional policies which operate more directly on the determination of incomes and prices are needed.

STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

S.kr. million at 1954 prices

	1950	1955	1956	1957	1958	1959	1960	1961
1. Private consumption	24,113	27,369	28,166	28,714	29,633	30,782	31,358	33,151
a) Durables	2,088	2,635	2,776	3,101	3,338	3,865	3,709	4,169
b) Other	22,025	24,734	25,390	25,613	26,295	26,917	27,649	28,982
2. Public consumption	5,490	7,177	7,495	7,705	7,943	8,336	8,424	8,800
a) Defence	1,571	2,171	2,226	2,207	2,270	2,367	2,318	2,397
b) Civil	3,919	5,006	5,269	5,498	5,673	5,969	6,106	6,403
3. Gross domestic fixed asset formation	7,088	8,697	8,952	9,239	10,044	11,048	11,442	12,226
a) Residential construction	1,856	2,266	2,389	2,441	2,625	2,747	2,673	2,889
b) Other construction	2,346	3,409	3,502	3,625	3,983	4,539	4,723	5,079
c) Machinery and equipment	2,886	3,022	3,061	3,173	3,436	3,762	4,046	4,258
4. Change in stocks	-290	938	618	1,033	-31	-353	1,361	1,193
5. Exports of goods and services	9,533	11,767	12,912	14,469	14,497	14,780	16,432	17,084
6. Imports of goods and services	8,684	12,387	13,188	14,515	14,930	15,128	17,557	17,763
7. Gross national product at market prices	37,250	43,561	44,955	46,645	47,156	49,465	51,460	54,691

SOURCE : Swedish submission to the O.E.C.D.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE

S. kr. million at current prices

	1950	1955	1956	1957	1958	1959	1960	1961
1. Private consumption	19,372	28,071	30,216	31,832	33,976	35,374	37,337	40,274
a) Durables	1,758	2,693	2,891	3,309	3,582	4,115	4,087	4,657
b) Other	17,614	25,378	27,325	28,523	30,394	31,259	33,250	35,617
2. Public consumption	4,015	7,627	8,377	9,266	9,869	10,537	11,222	12,197
a) Defence	1,162	2,280	2,486	2,643	2,779	2,903	2,993	3,202
b) Civil	2,853	5,347	5,891	6,623	7,090	7,634	8,229	8,995
3. Gross domestic fixed asset formation	5,034	9,035	9,789	10,500	11,494	12,660	13,937	15,375
a) Residential construction	1,416	2,340	2,574	2,699	2,905	3,049	3,183	3,556
b) Other construction	1,729	3,565	3,840	4,134	4,579	5,263	5,802	6,435
c) Machinery and equipment	2,289	3,130	3,375	3,667	4,010	4,348	4,957	5,384
4. Change in stocks	-181	1,023	750	1,233	-40	-303	1,551	1,309
5. Exports of goods and services	7,391	12,208	13,862	15,729	15,201	15,145	17,353	18,200
6. Imports of goods and services	7,230	12,601	13,979	15,808	15,458	15,167	17,898	18,085
7. Gross national product at market prices	28,801	45,363	49,015	52,752	55,042	58,246	63,502	69,270

SOURCE : Swedish submission to the O.E.C.D.

Table III. GROSS FIXED ASSET FORMATION

S.kr. million at 1954 prices

	1950	1955	1956	1957	1958	1959	1960	1961
A. BY INDUSTRY								
Agriculture, forestry and fishing	514	425	400	405	393	412	433	482
Manufacturing, mining and construction	1,992	1,861	1,890	1,874	2,223	2,397	2,610	3,195
Electricity, gas and waterworks	727	952	995	1,075	1,234	1,334	1,300	1,340
Transportation and communications	1,370	2,037	2,080	2,144	2,180	2,550	2,770	2,492
Dwellings	1,856	2,266	2,389	2,441	2,625	2,747	2,673	2,889
Public administration	147	193	173	215	224	246	215	242
Other service industries	482	963	1,025	1,085	1,165	1,362	1,441	1,586
Total	7,088	8,697	8,952	9,239	10,044	11,048	11,442	12,226
B. INSTITUTIONAL CLASSIFICATION								
Private enterprises	4,661	5,228	5,408	5,427	6,038	6,442	6,982	7,571
Public enterprises	1,584	2,086	2,131	2,225	2,359	2,667	2,547	2,654
General government	843	1,383	1,413	1,587	1,647	1,939	1,913	2,001
C. PRODUCT CLASSIFICATION								
Dwellings	1,856	2,266	2,389	2,441	2,625	2,747	2,673	2,889
Other building and construction	2,346	3,409	3,502	3,625	3,983	4,539	4,723	5,079
Transport equipment	2,886	1,138	1,164	1,214	1,202	1,317	1,586	1,335
Other equipment		1,884	1,897	1,959	2,234	2,445	2,460	2,923

SOURCE : Swedish submission to the O.E.C.D.

Table IV. INDUSTRIAL PRODUCTION

1953 = 100

	1955	1956	1957	1958	1959	1960	1961	1962
Iron ore	104	115	120	112	110	128	139	132
Iron and metal works	125	137	140	134	153	166	181	183
Wood	116	115	125	126	119	134	130	130
Paper	122	129	137	138	153	180	190	196
Pulp	122	129	134	131	138	157	160	149
Food	108	112	110	113	114	117	117	122
Spinning, weaving and knitted goods	95	97	105	97	99	106	107	109[1]
Ready-made clothing	100	103	100	98	105	109	110	109[1]
Leather and shoes	99	-	106	98	94	90	89	86
Total	111	115	118	120	125	134	139	141
Consumer goods	110	116	114	116	119	125	127	128
Capital goods	109	110	116	119	123	134	141	143

1) First three quarters.
SOURCE : Kommersiella Meddelanden, Industriförbundets index.

Table V. INDICATORS OF RECENT DEVELOPMENT

	UNITS	1960				1961				1962			
		1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
1. Output of Major Products :													
a) Pig iron and sponge iron...	1,000 metric tons	444.4	419.0	301.8	480.5	487.0	481.3	407.7	535.6	574.5	534.1	350.4	486.7
b) Ingots, finished steel castings, etc.	"	859.3	771.3	677.2	910.7	950.9	884.4	777.4	942.8	1,000.7	920.1	739.6	937.5
c) Finished steel	"	561.4	508.3	463.3	629.3	611.3	603.7	516.6	692.4	656.0	625.1	513.6	711.9
d) Pulp	"	994.0	876.0	885.0	996.0	1,024.0	955.0	944.0	1,019.0	1,002.0	918.0	888.0	1,050.0
e) Paper and board	"	555.6	516.2	508.1	569.8	581.8	547.3	551.8	611.1	623.9	575.2	565.7	640.0
2. Building starts of block flats	thousands	7.3	11.6	16.2	16.7	9.1	11.8	15.3	18.9	10.2	15.3	18.2	(23.0)
Block flats under construction	"	60.6	58.2	62.3	64.4	62.0	60.8	63.8	67.1	66.3	67.9	73.8	(80.8)
3. Manpower :													
a) Number of unemployed, seasonally adjusted	"	39.8	22.7	15.1	19.6	30.9	19.5	13.2	20.2	33.7	22.6	15.1	21.6
b) Jobs vacant, seasonally adjusted	"	32.7	46.2	43.8	40.8	40.2	55.6	49.6	41.5	39.2	51.1	45.8	39.3
c) Proportion of insured labour force unemployed..	per cent	2.4	1.3	0.7	1.2	1.9	1.1	0.6	1.2	2.1	1.3	0.8	1.1
d) Employment in industry, seasonally adjusted	1953 = 100	105	107	108	109	108	109	109	109	109	109	109	110
4. Turnover in Private Retail Trade	2nd Qtr. 1955 = 100	97	120	115	142	112	128	123	149	113	137	131	

SOURCE : O.E.C.D. Statistical Bulletin, Kommerciella Meddelanden.

Table VI. TRADE AND RESERVES

	UNITS	1955	1956	1957	1958	1959	1960	1961	1962
Value of trade unadjusted :									
1. Imports (c.i.f.)	$ million	1,992	2,208	2,424	2,364	2,400	2,880	2,916	3,108
2. Exports (f.o.b.)	"	1,728	1,944	2,136	2,088	2,208	2,568	2,736	2,922
3. Balance	"	-264	-264	-288	-276	-192	-312	-180	-186
Volume Indices :									
4. Imports	1953 = 100	127	135	145	148	155	183	185	194
5. Exports	"	116	128	140	139	150	170	179	193
Price Indices :									
6. Imports	"	100	104	107	101	99	100	101	102
7. Exports	"	100	103	103	101	99	102	103	101
8. Terms of trade	"	100	99	96	100	100	102	102	99
9. Change in foreign exchange reserves[1]	$ million	7	42	14	30	10	-30	174	111
10. Holdings of gold and net foreign exchange reserves[1]	"	493	535	549	579	589	559	733	844

1) Comprises reserves of both the Central Bank and the commercial banks.
SOURCE : O.E.C.D. Statistical Bulletins. Månadsstatistik över Handeln.

Table VII. BALANCE OF PAYMENTS[1)]

$ millions

	1955	1956	1957	1958	1959	1960	1961	1962[2)]	1963[3)]
Exports (f.o.b.)	1,734	1,955	2,148	2,099	2,210	2,567	2,746	2,915	3,017
Imports (c.i.f.)	2,006	2,225	2,446	2,382	2,415	2,902	2,931	3,109	3,211
Trade balance	-272	-270	-298	-283	-205	-335	-185	-194	-194
Shipping earnings, net	198	235	279	242	240	262	267	271	271
Other services, net	-7	5	-6	-16	-41	-39	-70	-97	-97
Current balance	-81	-30	-25	-57	-6	-112	12	-20	-20
Registered capital transactions	2	-22	-6	-2	-16	-15	-6	4	..
Errors and omissions	87	94	46	89	33	96	168	127	..
Change in foreign exchange reserves	8	42	15	30	11	-31	174	111	..

1) According to Swedish definitions; the main differences from the O.E.C.D. standard definitions are that : a) imports are registered c.i.f. and not f.o.b. with a corresponding difference in shipping earnings; b) services are registered net and not gross. The current balance corresponds to the O.E.C.D. definition with a negligible difference due to non-monetary gold transactions.

2) Preliminary figures.

3) Forecast.

SOURCE : Statistical Abstract of Sweden and preliminary National Budget 1963.

Table VIII. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1)]

S.kr. Million

	FISCAL YEAR BEGINNING JULY :											
	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961
1. Current revenue	5,735	7,429	7,732	8,443	8,807	9,943	10,560	11,879	12,457	13,488	16,449	17,778
Direct taxes	2,839	4,213	4,248	4,644	4,531	5,133	5,514	6,126	6,301	6,368	7,888	8,422
Indirect taxes	2,414	2,681	2,899	3,116	3,526	4,066	4,318	4,859	5,265	6,063	7,425	8,123
Other	482	535	585	683	750	744	728	894	891	1,057	1,136	1,233
2. Current expenditure	5,144	5,995	6,886	7,295	7,895	8,453	9,195	10,546	11,619	12,478	13,478	14,681
Purchases of goods and services	2,367	2,924	3,380	3,581	3,935	4,039	4,319	4,711	5,021	5,394	5,621	6,506
Defence	1,298	1,642	1,969	2,105	2,230	2,365	2,498	2,710	2,795	2,948	2,962	3,053
Civil	1,069	1,282	1,411	1,476	1,705	1,674	1,824	2,001	2,226	2,446	2,695	3,453
Subsidies	420	423	562	402	370	513	491	683	715	699	778	960
Interest	336	348	301	341	350	432	459	573	599	763	1,011	875
Current transfers	2,021	2,300	2,643	2,971	3,240	3,469	3,926	4,579	5,284	5,622	6,068	6,340
3. Net current savings (1-2)	591	1,434	846	1,148	912	1,490	1,365	1,333	838	1,010	2,971	3,097
4. Depreciation and other operating provisions	285	416	478	443	598	536	503	725	637	760	877	844
5. Gross savings (3+4)	876	1,850	1,324	1,591	1,510	2,026	1,868	2,058	1,475	1,770	3,842	3,941
6. Gross fixed asset formation	605	838	1,277	1,293	1,049	1,312	1,342	1,449	1,749	1,939	1,935	2,035
7. Surplus on current and fixed investment account (5-6)	271	1,012	47	298	461	714	526	609	-374	-169	1,907	1,906
8. Lending	423	631	758	754	1,045	1,181	970	1,375	1,146	1,254	1,156	1,250
9. Net capital transfers to other sectors	45	70	147	271	204	180	216	264	293	294	330	395
10. Surplus before borrowing (7-8-9)	-197	311	-858	-727	-788	-647	-660	-1,030	-1,813	-1,717	429	261

1) According to O.E.C.D. definitions.

SOURCE : Swedish submission to O.E.C.D.

Table IX. CENTRAL GOVERNMENT FINANCES[1)]

S.kr. Million

	CALENDAR YEAR				
	1959 ACTUAL	1960 ACTUAL	1961 ACTUAL	1962 PRELIMINARY	1963 FORECAST
Current receipts	12,847	14,745	17,440	18,700	19,625
Direct taxes	6,422	6,790	8,553	8,510	8,610
Indirect taxes	5,452	6,812	7,634	8,810	9,670
Other	973	1,143	1,253	1,380	1,345
Current and investment expenditures	13,801	14,747	15,724	16,800	18,825
Transfer payments	7,334	7,881	8,481	8,780	10,075
Consumption	3,285	3,538	3,937	4,450	4,850
Gross investment	3,181	3,328	3,306	3,570	3,900
Balance on current and fixed investment account	-954	-2	1,716	1,900	800
Lending	1,072	963	1,220	1,300	1,200
Balance on total account	-2,026	-965	496	600	-400

1) According to Swedish definitions.
SOURCE : National Budgets for 1962 and 1963.

Table X. MAIN FACTORS INFLUENCING THE DEVELOPMENT OF BANK LIQUIDITY

S.kr. Million

	1957	1958	1959	1960	1961	1962[1]
Government surplus before borrowing (after lending)	-1,621	-1,018	-1,922	-1,079	+365	+651
Government borrowing[2]	555	123	847	554	-116	-928
Net supply of liquidity by the Government	1,066	895	1,075	525	-249	277
Release (increase = -) of investment reserves at the Central Bank	-199	-62	-40	-861	-86	343
Net supply through Central Banks operations[3]			-101	-108	94	543
Net supply of liquidity through Government and Central Bank transactions in domestic currency	867	733	934	-444	-241	+1,163
Net supply of liquidity through inflow of foreign exchange to the banks[4]	73	153	57	-159	902	661
Total change in liquidity	+940	+886	+991	-603	+661	+1,824
of which :						
Notes in circulation	+221	+211	+162	+348	+287	+431
Liquid assets of the commercial banks[5]	+719	+675	+829	-951	+374	+1,393

1) The twelve months ending November 1962.
2) Borrowing from other sources than Central Bank and commercial banks.
3) Excluding purchase of foreign exchange, including some commercial bank transactions.
4) Central Bank and commercial banks.
5) Including Government bonds and treasury bills.
SOURCE : The Annual Report of the Central Bank.

Table XI. COMMERCIAL BANKS, DEPOSITS AND LOANS

S.kr. Million

	1950	1955	1956	1957	1958	1959	1960	1961	1962	CHANGE		
										1950-1955	1955-1960	1960-1962
Deposits	8,930	12,609	13,090	14,263	15,987	18,950	18,524	19,415	22,080	3,779	5,915	3,556
Loans	9,240	10,530	10,638	10,826	11,692	13,125	14,091	14,541	16,196	1,290	3,561	2,105
Deposits in excess of loans	-310	2,079	2,452	3,437	4,295	5,825	4,433	4,874	5,884	2,489	2,354	1,451

SOURCE : Kommersiella Meddelanden.

Table XII. THE NATIONAL PENSION FUND : INVESTMENTS BY GROUPS OF BORROWERS

Million Kr.

	1960	1961	1962
Government bonds	135	104	176
Housing credits	176	606	1,276
Municipalities	61	154	-342
Enterprises[1]	85	270	925
Other assets	14	56	101
	471	1,190	2,820[2]

1) Including loans to premium payers.
2) In 1962 the fund borrowed Kr. 225 millions.
SOURCE : Statistical Abstract of Sweden.

Table XIII. MONETARY SURVEY

Millions of Kronor at end of period

	1955	1956	1957	1958	1959	1960	1961	1962 1st QUARTER	1962 2nd QUARTER	1962 3rd QUARTER	1962 4th QUARTER
Central Bank :											
1. Foreign assets, net, and gold	2,430	2,448	2,360	2,445	2,166	2,435	3,319	3,436	3,701	3,843	3,869
2. Swedish treasury bills and bonds	4,023	4,390	5,050	4,545	4,893	6,005	5,702	4,707	3,916	2,938	4,683
3. Advances	10	8	84	91	239	4	5	173	397	1,071	35
4. Notes in circulation	5,318	5,598	5,840	6,059	6,266	6,559	3,870	6,290	6,673	6,625	7,330
5. Government current deposits	321	260	274	158	146	118	209	124	190	46	152
6. Commercial bank current deposits	418	241	136	163	138	154	163	30	38	23	182
7. Other deposits[1]	210	519	1,044	361	387	1,155	1,254	1,287	1,308	1,209	904
Commercial Banks :											
8. Cash	653	500	422	457	479	434	472	301	363	314	514
9. Foreign assets, net	121	317	478	546	881	453	472	495	474	511	492
10. Bonds and treasury bills	2,958	3,295	4,439	5,223	6,339	5,558	5,673	6,143	6,213	6,706	7,277
11. Advances :											
i) Amounts drawn	10,530	10,638	10,826	11,692	13,125	14,091	14,541	14,926	15,366	16,034	16,196
ii) Amounts granted				13,469	15,358	16,293	16,973				
12. Current deposits	2,031	2,132	2,049	1,988	2,733	2,290	2,994	1,889	2,446	2,241	3,206
13. Savings deposits	1,982	2,120	2,143	2,185	2,239	2,312	2,029	2,078	2,096	2,091	2,067
14. Time deposits	8,596	8,838	10,071	11,814	13,979	13,922	14,392	15,586	15,217	16,196	16,807
Savings Banks :[2]											
15. Bonds and treasury bills	756	833	885	1,022	1,065	1,148	1,197	1,210	1,249	1,270	1,302
16. Advances	7,061	7,548	8,166	8,852	9,573	10,144	10,906	11,088	11,200	11,450	11,708
17. Deposits	7,741	8,363	9,079	9,448	10,107	10,867	11,644	12,320	12,263	12,540	12,638
Other Monetary Data :											
18. Government bond yield[3]	3.70	3.75	4.33	4.34	4.28	4.57	4.56	4.51	4.34	4.35	4.35
19. Official discount rate	3.75	4.0	5.0	4.5	4.5	5.0	5.0	5.0	4.0	4.0	4.0

1) Mainly enterprises' investment reserve deposits.
2) Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3) 1934. 3 per cent "external" ban.
SOURCE : Kommersiella Meddelanden: Uppgifter om Bankerna.

Table XIV. WAGES AND PRICES

1953 = 100

	1958	1959	1960	1961	1962	AVERAGE ANNUAL CHANGE IN PER CENT		
						1953-1958	1958-1962	CHANGE IN 1962
1. Hourly earnings in industry	135	140	149	162	174	6.2	6.6	7.4
2. Consumer prices	119	120	124	127	133	3.5	2.6	4.7
a) Food	119	120	128	131	142	3.5	4.5	8.4
3. Wholesale prices	107	107	111	113	115	1.4	1.8	1.8
a) Raw materials and semi-manufactures	106	106	109	110	112	1.2	1.4	1.8
b) Agricultural products	108	113	116	117	121	1.5	2.9	3.4
c) Manufactured products	109	109	112	115	118	1.7	2.0	2.6
4. Building costs	109	109	116	120	124	1.7	3.3	3.3

SOURCE : O.E.C.D. Statistical Bulletin. Socialstyrelsen Konsumentprisindex. Kommersiella Meddelanden.

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